ACCOUNTING

HIGHER & ORDINARY LEVEL

MARKING SCHEME

Pre-Leaving Certificate Examination 2023

Higher Level: page 3

Ordinary Level: page 41

TABLE OF CONTENTS

Higher Level Solutions

Q1. FINAL ACCOUNTS Page 03

Q2. CREDITORS CONTROL ACCOUNT Page 16

Q3. DEPRECIATION OF FIXED ASSETS Page 18

Q4. SERVICE FIRM Page 22

Q5. INTERPRETATION OF ACCOUNTS Page 23

Q6. PUBLISHED ACCOUNTS Page 27

Q7. TABULAR STATEMENT Page 32

Q8. MARGINAL COSTING AND FLEXIBLE BUDGETING Page 36

Q9. CASH BUDGET Page 38

Ordinary Level Solutions

Q1. FINAL ACCOUNTS Page 41

Q2. COMPANY PROFIT AND LOSS Page 46

Q3. DEPRECIATION AND REVALUATION Page 47

Q4. CORRECTION OF ERRORS AND SUSPENSE ACCOUNT Page 48

Q5. INTERPRETATION OF ACCOUNTS Page 49

Q6. CASH FLOW STATEMENT Page 51

Q7. INCOMPLETE RECORDS: CONTROL ACCOUNTS Page 53

Q8. ABSORPTION COSTING Page 56

Q9. PRODUCT BUDGETING Page 57

HIGHER LEVEL

1(A). FINAL ACCOUNTS - SOLE TRADER

** Deduct one mark for each heading omitted from P & L A/C.*
*** No marks lost for order of P & L A/C, i.e. Income before or after Expenses*

(a) Trading, Profit & Loss A/C of Jim Beechinor for the year ended 31/12/2022 [1] (70 marks)

	Working	€	€	€
Sales		**[2]**		675,540
- **Cost of Sales**				
Opening Stock		**[2]**	20,800	
+ Purchases	**1**	**[7]**	381,450	
			402,250	
- Closing Stock	**2**	**[4]**	(34,000)	
Cost of Sales				368,250
Gross Profit				307,290
** **Other Income**				
Profit on disposal of delivery van	**10**	7,500 **[3]**		
Investment Interest	**4**	3,000 **[3]**		
Profit on disposal of equipment	**3**	300 **[6]**		
*** Discount received		450 **[3]**		11,250
Total Income				318,540
* **Administration Expenses**				
Salaries & general expenses		67,320 **[3]**		
Insurance		9,950 **[3]**		
Rent		3,650 **[3]**		
Depreciation on buildings	**5**	13,000 **[4]**		
Depreciation on office equipment	**6**	1,150 **[4]**		
Loss on damaged stock	**7**	500 **[4]**		
Patent written-off	**8**	6,350 **[4]**	101,920	
* **Selling & Distribution Expenses**				
Depreciation on delivery vans	**9**	27,700 **[4]**		
Commission		6,750 **[3]**	34,450	
Financial Expenses				
Mortgage interest	**11**	10,950 **[4]**	10,950	
Total Expenses				(147,320)
Net Profit			*correct figure only*	171,220 **[3]**

**** Profit on Disposal/Discount Received*
Full 9 marks (3+6) to be awarded if Discount recived €750, and no profit/loss on disposal.

(b) Balance Sheet of Jim Beechinor as at 31/12/2022 **(50 marks)**

	Working	€	€	€	€
Intangible Assets					
Patent	**8**				57,150 **[3]**
Tangible Fixed Assets		**Cost**	**Acc Dep**	**NBV**	
Buildings	**12**	650,000	13,000	637,000 **[3]**	
Delivery Vans	**13**	142,000	84,200	57,800 **[7]**	
Office Equipment	**14**	11,500	8,450	3,050 **[5]**	
		803,500	105,650	697,850	697,850
Financial Assets					
4% Investments					100,000 **[2]**
					855,000
Current Assets					
Debtors	**15**	49,140 **[2]**			
- Provision for bad debts		(2,500) **[1]**		46,640 **[3]**	
Stock	**2**			34,000 *accept own figure* **[1]**	
Investment interest due	**4**			2,000 **[2]**	
Insurance compensation due				2,500 **[3]**	
VAT	**16**			4,935 **[2]**	
				90,075	
Less Creditors: (amounts falling due within 1 year)					
Creditors	**17**	**[4]**	30,660		
Bank overdraft		**[2]**	32,130		
PAYE, PRSI, USC		**[2]**	12,100		
Mortgage interest due	**11**	**[2]**	7,550	(82,440)	
Working Capital					7,635
Total Net Assets					862,635
FINANCED BY:					
Creditors: (amounts falling due after 1 year)					
6% Fixed Mortgage					220,000 **[2]**
Capital 01/01				265,930 **[2]**	
Revaluation reserve	**18**			237,575 **[2]**	
add Net Profit				171,220 *accept own figure* **[1]**	
				674,725	
less Drawings	**19**			(32,090) **[2]**	
					642,635
Capital Employed					862,635

QUESTION 1 - WORKINGS

Breakdown of individual marking scheme:
Penalise 1 mark for the omission of two headings in the Profit & Loss Account and Revaluation Reserve after Net Profit in Balance Sheet.

					€
1.	Purchases	412,500 - 3,500 - 23,000 - 6,750 + 5,200 - 3,000	**[2+1+1+1+1+1]**	7	381,450
2.	Closing stock	32,300 -3,500 + 5,200	**[1+1+1]**	6	34,000
3.	Profit on disposal of equipment/	6,000 - 1,700 - 4,600	**[2+2+2]**	6	300
	Discount received	[6,000 - 1,700 - 4,300] +300, ie. Profit '0' V discount rec'd 300			
4.	Investment interest	100,000 x 4% x 9/12	**[3]**	3	3,000
	Investment interest due	3,000 - 1,000	**[1 + 1]**	2	2,000
5.	Depreciation on buildings	[510,000 - 8,775 + 148,775] x 2%	**[1+1+2]**	4	13,000
6.	Depreciation on office equipment	[17,500 - 6,000] x 10%	**[1+1+2]**	4	1,150
7.	Loss on damaged stock	3,000 - 2,500	**[2 + 2]**	4	500
8.	Patent write-off	[62,500 + 1,000] / 10	**[1+1+2]**	4	6,350
	Patents	62,500 + 1,000 - 6,350	**[1+1+1]**	3	57,150
9.	Depreciation on vans	[135,000 x 20% x 6/12] + [142,000 x 20% x 6/12]	**[2 + 2]**	4	27,700
10.	Profit on disposal of van	30,000 - 23,500 - 14,000	**[1 + 1 + 1]**	3	7,500
11.	Mortgage interest	[170,000x6%] + [50,000x6%x3/12]	**[2 + 2]**	4	10,950
	Mortgage interest due	10,950 - 3,400 [i.e. 4,300 - 900]	**[1 + 1]**	2	7,550
12.	Buildings	510,000 - 8,775 + 148,775	**[1+1+1]**	3	650,000
13.	Delivery vans	135,000 + 23,000 + 14,000 - 30,000	**[1+1+1+1]**	4	142,000
	Accum deprec. on delivery vans	80,000 + 27,700 - 23,500	**[1+1+1]**	3	84,200
14.	Office equipment	17,500 - 6,000	**[1+1]**	2	11,500
	Accum deprec. on office equip.	9,000 + 1,150 - 1,700	**[1+1+1]**	3	8,450
15.	Debtors	49250 - 110	**[1 + 1]**	2	49,140
16.	VAT	3,840 - 8,775	**[1 + 1]**	2	4,935
17.	Creditors	33,560 - 3,500 + 5,200 - 4,600	**[1 + 1 + 1 + 1]**	4	30,660
18.	Revaluation reserve	148,775 + 88,800	**[1 + 1]**	2	237,575
19.	Drawings	25,340 + 6,750	**[1 + 1]**	2	32,090

WORKINGS – SOLE TRADER

Workings in T account format

1 Closing Stock:

Initial value 31/12	32,300
less 'Sale or Return' **(i)**	-3,500
add Goods 'in Transit' **(ix)**	5,200 [6,500 x 100/125]
	34,000

Purchases A/C

B/D	412,500	Crs	3,500
		C/D	409,000
	412,500		412,500
B/D	409,000	> note 2	

Creditors A/C

Purchases	3,500	B/D	33,560
C/D	30,060		
	33,560		33,560
		B/D	30,060
			> note 9

2 Dep on Vans @ 15%.

Delivery Van A/C

B/D	135,000	Disposal	30,000
**** **Bank**	**23,000**		
Trade In	14,000	C/D	142,000
	172,000		172,000
B/D	142,000		

Provision for Depreciation A/C

Disposal	23,500	B/D	80,000
C/D	84,200	P & L	* 27,700
	107,700		107,700
		B/D	84,200

Disposal A/C

Van	30,000	Deprec. ***	23,500
Profit to P/L	7,500	Trade In	14,000
	37,500		37,500

*** 30,000 x 20% = 6,000

Yr	**months**	**dep**	**P & L Charge for 2022 ***	
2018	5	2,500	30,000 x 20% x 6/12 =	3,000
2019	12	6,000	37,000 x 20% x 6/12 =	3,700
2020	12	6,000	105,000 x 20% =	21,000
2021	12	6,000		27,700
2022	6	3,000		
		23,500		

Purchases A/C

B/D	409,000	**Van error**	**23,000** ****
		C/D	386,000
	409,000		409,000
B/D	386,000	> note 8	

3

Suspense A/C

Drs error	110	Balance B/D	1,010
Mortgage Interest error	900	C/D	
	1,010		1,010

Discount A/C

B/D	110	OK	

Mortgage Interest A/C

B/D	4,300	Suspense (Mortg. Int)	900
		C/D **	3,400
	4,300		4,300
B/D	3,400	> note 7	

Debtors A/C

B/D	49,250	Suspense (Disc All'd)	110
		C/D	49,140
	49,250		49,250
B/D	49,140		

*** Mortgage Interest for first four months: 170,000 x 6% x 4/12 = 3,400*

4 Patents

Patents A/C

B/D	62,500	P & L	6,350	[63,500 W/O over 10 years]
Inv. Income Error	1,000	C/D	57,150	
	63,500		63,500	
B/D	57,150			

Investment Income A/C

		Patents Error	1,000 [100,000 x 4%x 3/12]
			> note 7

5 Warehouse

Buildings A/C

B/D	510,000	01/01 Vat Error	8,775
		C/D	501,225
	510,000		510,000
B/D	501,225		

VAT A/C

		B/D	3,840
Buildings	8,775	C/D	4,935
	8,775		8,775
B/D	4,935		

6

Buildings A/C

B/D	501,225		
01/01 Reval. Res	148,775	C/D	650,000
	650,000		650,000
B/D	650,000		

Provision for Depreciation A/C

01/01 Reval. Res	88,800	B/D	88,800
Bal C/D	13,000	P & L 650,000 x 2%	13,000
	101,800		101,800
		B/D	13,000

Revaluation Reserve A/C

		01/01 Bldgs	148,775
C/D	237,575	01/01 Depreciation	88,800
	237,575		237,575
		B/D	237,575

7 **Mortgage Interest A/C**

B/D	3,400	P & L	** 10,950
C/D	7,550		
	10,950		10,950
		B/D	7,550

** 170,000 x 6% =	10,200
50,000 x 6% x 3/12 =	750
	10,950

Investment Interest A/C

* P & L	3,000	B/D	1,000
* [100,000 x 4% x 9/12]		C/D	2,000
	3,000		3,000
B/D	2,000		

8 **Drawings:** 8,100 x 100/120 = 6,750

Purchases A/C

B/D	386,000	Drawings	6,750
		C/D	379,250
	386,000		386,000
B/D	379,250	> note 9	

Drawings A/C

B/D	25,340		
Purchases	6,750	C/D	32,090
	32,090		32,090
B/D	32,090		

9 **Goods-in-Transit**

Purchases A/C

B/D	379,250		
Transit	5,200	C/D	384,450
	384,450		384,450
B/D	384,450	> note 10	

Creditors A/C

		B/D	30,060
C/D	35,260	Transit	5,200
	35,260		35,260
		B/D	35,260
			> Note 11

10 Damaged Stock

Purchases A/C

B/D	384,450	Damaged Stock	3,000
		C/D	381,450
	384,450		384,450
B/D	381,450		

Damaged Stock A/C

Purchases	3,000	Insurance due	2,500
		Loss P/L	500
	3,000		3,000

Insurance Compensation due A/C

Damaged Stock	2,500		

11 Disposal of Office Equipment

Office Equipment A/C

B/D	17,500	Disposal	6,000
		C/D	11,500
	17,500		17,500
B/D	11,500		

Provision for Depreciation A/C

Disposal	1,700	B/D	9,000
C/D	8,450	P&L	1,150
	10,150		10,150
		B/D	8,450

**** **Disposal of Equipment A/C**

Equipment	6,000	Depreciation	1,700
Profit to P/L	300	Creditors	4,600
	6,300		6,300

**** **Creditors A/C**

Disposal of Equip	4,600	B/D	35,260
C/D	30,660		
	35,260		35,260
		B/D	30,660

**** **Alternative**

Disposal of Equipment A/C

Equipment	6,000	Depreciation	1,700
		Creditors	4,300
	6,000		6,000

Creditors A/C

Disposal of Equip	4,300	B/D	35,260
Discount Rec'd	300		
C/D	30,660		
	35,260		35,260
		B/D	30,660

Discount Received A/C

		Crs	300

1(B). COMPANY - FINAL ACCOUNTS

(a) Trading, Profit & Loss Account of Lopez Ltd. for the year ended 31/12/2022 [1] **(70 marks)**

	Working	€	€	€
Sales				590,200 **[3]**
Less Cost of sales				
Opening stock			22,000 **[2]**	
add Purchases	**1**		330,600 **[5]**	
			352,600	
less Closing stock	**2**		(15,320) **[4]**	
Cost of Sales				337,280
Gross Profit				252,920
Less Expenses:				
Administrative Expenses	***			
Salaries & general expenses	**7**	107,990 **[4]**		
Patent write-off	**3**	10,000 **[3]**		
Audit fees		15,000 **[3]**		
Loss on damaged stock	**8**	300 **[3]**		
Depreciation on buildings	**9**	18,000 **[3]**	151,290	
Selling & Distribution Expenses		***		
Advertising	**11**	5,000 **[3]**		
Bad debt	**12**	6,000 **[3]**		
Sales commission	**13**	4,510 **[3]**		
Loss on disposal of delivery van	**6**	1,250 **[4]**		
Depreciation - delivery van	**14**	28,500 **[4]**	45,260	
Total Expenses				(196,550)
				56,370
Add Operating Income				
Decrease in bad debt provision	**5**		780 **[4]**	
Discount received			1,280 **[3]**	2,060
				58,430
Investment income receivable	**4**			2,250 **[3]**
Debenture interest payable	**10**			(15,000) **[4]**
Net Profit				45,680
Less Dividends paid				(28,000) **[3]**
Retained Profit				17,680
Profit & loss balance 01/01/2022				25,690 **[3]**
Profit & loss balance 31/12/2022				43,370 ** **[2]**

** correct figure only

(b) Balance Sheet of Lopez Ltd. as at 31/12/2022 **(50 marks)**

	Working	€	€	€	Total
Intangible Fixed Assets					
Patents	**3**				60,000 **[3]**
		Cost	**DEP**	**NBV**	
Tangible Fixed Assets					
Land & buildings	**21 & 9**	1,200,000 **[2]**	18,000 **[1]**	1,182,000	
Delivery vans	**15 & 20**	145,000 **[3]**	64,750 **[3]**	80,250	
		1,345,000	82,750	1,262,250	1,262,250
Financial Assets					
3% Investments					100,000 **[2]**
					1,422,250
Current Assets					
Stock	**** **2**	15,320 **[1]**			
Debtors	**16**	31,680 **[4]**			
Insurance compensation due	**8**	2,500 **[2]**			
Investment income due	**4**	600 **[2]**			
Advertising prepaid	**11**	10,000 **[2]**	60,100		
Less Creditors: amounts falling due within one year					
VAT		2,850 **[2]**			
Creditors	**18**	36,150 **[3]**			
Bank	**17**	33,470 **[3]**			
Sales commission due	**13**	4,510 **[3]**			
Debenture interest due	**10**	8,000 **[2]**	84,980		
Working Capital					(24,880)
Total Net Assets					1,397,370
FINANCED BY:					
Creditors: amounts falling due after more than one year					
8% Debentures					200,000 **[2]**

Capital and Reserves		**Authorised**	**Issued**		
Ordinary shares @ €1 each		1,500,000 **[1]**	700,000 **[1]**		
5% Preference shares @ €1 each		500,000 **[1]**	75,000 **[1]**		
		2,000,000	775,000		
Revaluation reserve	**19**		354,000 **[2]**		
Capital reserve			25,000 **[2]**		
Revenue reserves (profit & loss balance 31/12/2022)				****	43,370 **[2]**	1,197,370
Capital Employed					1,397,370

**** award marks if consistent with student's figures from P&L account

WORKINGS – Company (with breakdown of individual marking scheme)

*** Penalise 1 mark each for the omission of two headings, Administrative and Selling & Distribution expenses in the Profit & Loss Account [max 2 marks].
Penalise 1 mark for omission of word Authorised Capital in the Balance Sheet.

1.	Purchases	358,400 - 5,000 - 2,800 - 20,000	**[1+1+1+2]**	5	330,600
2.	Closing stock	21,600 -6,400 + 5,120 - 5,000	**[1+1+1+1]**	4	15,320
3.	Patents	69,250 + 750 - 10,000	**[1+1+1]**	3	60,000
	Patent write-off	[69,250 + 750] / 7	**[1+1+1]**	3	10,000
4.	Investment income receivable	[100,000 x 3% x 9/12]		3	2,250
	Investment income due	2,250 - 750 - 900	**[1+1]**	2	600
5.	Decrease in bad debt provision	2,100 - 1,320 [33,000 x 4% = 1,320]	**[2+2]**	4	780
6.	Loss on disposal	25,000 - 13,750 - 10,000	**[1+2+1]**	4	1,250
7.	Salaries & general expenses	105,340 + 2,650 (suspense)	**[2+2]**	4	107,990
	Suspense	4,700 - 2,050 = 2,650			
8.	Loss on damaged stock *	2,800 - 2,500	**[1+2]**	3	300
	Insurance compensation due			2	2,500
9.	Depreciation on buildings	[1,200,000 - 300,000] x 2%		3	18,000
	Accumulated depreciation on bldgs	54,000 - 54,000 + 18,000		1	18,000
10.	Debenture interest payable	[150,000 x 8%] + [50,000 x 8% x 9/12]	**[2+2]**	4	15,000
	Debenture interest due	[15,000 - 4,950 - 2,050]	**[1+1]**	2	8,000
11.	Advertising	15,000 - [15,000 x 12/18]	**[1+2]**	3	5,000
	Advertising prepaid	15,000 x 12/18	**[1+1]**	2	10,000
12.	Bad debt	8,000 x 75%		3	6,000
13.	Sales commission	[590,200 - 500,000] = 90,200 x 5%	**[2+1]**	3	4,510
	Sales commission due			3	4,510
14.	Depreciation on delivery van	[140,000 x 20% x 6/12] + [145,000 x 20% x 6/12]	**[2+2]**	4	28,500
15.	Delivery vans at cost	140,000 + 30,000 - 25,000	**[1+1+1]**	3	145,000
16.	Debtors	(41,000 - 2,000 - 6,000) - 1,320	**[1+1+1+1]**	4	31,680
17.	Bank	-36,100 + 2,000 + 900 - 270	**[0+1+1+1]**	3	-33,470
18.	Creditors	36,720 - 5,000 + 4,700 - 270	**[0+1+1+1]**	3	36,150
19.	Revaluation reserve	300,000 + 54,000	**[1+1]**	2	354,000
20	Accum. depr. - delivery vans	50,000 + 28,500 - 13,750	**[1+1+1]**	3	64,750
21	Land & Buildings	900,000 + 300,000	**[1+1]**	2	1,200,000

* Award marks if loss on damaged stock is included in salaries and general expenses.

Supplementary page(s) to explain workings

1. Stock

	€	
Closing Stock	21,600	
- Original Cost	-6,400	
+ Net Realisable Value	5,120	i.e. 6,400 x 80%
	20,320	
- Sale or Return (note 4)	-5,000	i.e. 6,000 x 100/120
	15,320	**Trad & BS**

2.

Creditors A/C

Sale/return	5,000	Bal b/d	36,720
Bal c/d	31,720		
	36,720		36,720
		Bal b/d	31,720

Purchases A/C

Bal b/d	358,400	Sale or return	5,000
		Bal c/d	353,400
	358,400		358,400
Bal b/d	353,400		

3. Damaged Stock

Purchases A/C

Bal b/d	353,400	Damaged Stock	2,800
		Bal c/d	350,600
	353,400		353,400
Bal b/d Trad	350,600		

Insurance Compensation (due) A/C

Damaged Stock BS	2,500		

Damaged Stock A/C

Purchases	2,800	Compensation	2,500
		Loss to P & L	300
	2,800		2,800

4. Land & Buildings

Land & Buildings A/C

Bal b/d	900,000		
Reval Reserve	300,000	Bal c/d	1,200,000
	1,200,000		1,200,000
Bal b/d BS	1,200,000		

Provision for Depreciation A/C

Reval Reserve	54,000	Bal b/d	54,000
Bal c/d	18,000	P & L	18,000 **
	72,000		72,000
		Bal b/d	18,000 BS

** 900,000 x 2% = 18,000

Revaluation Reserve A/C

		Buildings	300,000
Bal c/d	354,000	Depreciation	54,000
	354,000		354,000
		Bal b/d	354,000 BS

5.

Delivery Van A/C

Bal b/d	140,000	Disposal	25,000
Trade In	10,000		
Purchases error	20,000	Bal c/d	145,000
	170,000		170,000
Bal b/d BS	145,000		

Provision for Depreciation A/C

** Disposal	13,750	Bal b/d	50,000
Bal c/d	64,750	P & L	28,500 ***
	78,500		78,500
		Bal b/d	64,750 BS

*** 140,000 x 20% x 6/12	=	14,000	
145,000 x 20% x 6/12	=	14,500	
		28,500	

** 25,000 x 20%= 5,000 x 2 9/12 yrs = 13,750

Disposal A/C

Van	25,000	Depreciation	13,750
		Allowance	10,000
		Loss to P/L	1,250
	25,000		25,000

Purchases A/C

Bal b/d	350,600	Error Van A/c	20,000
		Bal c/d	330,600
	350,600		350,600
Bal b/d	330,600		

6. **Advertising**

Advertising paid	15,000		
- amount prepaid	-10,000	15,000 x 12/18 = BS	10,000
P/L	5,000		

7.

Suspense A/C

		Difference	2,650
Creditors	4,700	Interest payable	2,050
	4,700		4,700

Interest Payable A/C

Bal b/d	4,950		
Suspense	2,050	Bal c/d **	7,000
	7,000		7,000
Bal b/d	7,000		

** (150,000 x 8% x 3/12) + (50,000 x 8% x 3/12) = 7,000

Creditor's A/C

		Bal b/d	31,720
Bal c/d	36,420	Suspense	4,700
	36,420		36,420
		Bal b/d	36,420

Salaries and General Expenses A/C

Bal b/d	105,340		
Suspense	2,650	Bal c/d	107,990
- difference	107,990		107,990
Bal b/d P & L	107,990		

8. Patents

Patents		69,250
+ 3 mths Inv. Income [100,000 x 3% x 3/12]		750
		70,000
- 7 year write-off to P&L	P&L	-10,000
		60,000 BS

9. Reconciliation of Bank

Bank A/C

Debtors	2,000	Bal b/d	36,100
Investment income	900	Chq error	270
Balance c/d	33,470		
	36,370		36,370
		Bal b/d	33,470 BS

Bank Reconciliation Statement	**€**	**€**
Balance per Bk Statement		-38,950
Add: Lgts not yet credited	6,500	6,500
		-32,450
Less: Cheque not presented	-1,020	-1,020
Balance per Bank A/C		-33,470 BS

Investment Income A/C

		Patents error	750
Bal c/d	1,650	Bank	900
	1,650		1,650
		Bal b/d	1,650

Debtors A/C

Bal b/d	41,000	Bank (CT)	2,000
		Bad Debt	6,000
		Bal c/d	33,000
	41,000		41,000
Bal b/d	33,000		

Bad Debt A/C

Debtors	P&L	6,000	

Creditors A/C

Cheque error Bank	270	Bal b/d	36,420
Bal c/d	36,150		
	36,420		36,420
		Bal b/d	36,150 BS

10(i) Provision for Bad Debts A/C

P & L	[decrease]	780	Bal b/d	2,100
Bal c/d	[33,000 x 4%]	1,320		
		2,100		2,100
			Bal b/d	1,320

Debtors	33,000
less Bad Debt Provision	-1,320
	31,680 BS

10(ii) Investment Income A/C

P & L	100,000 x 3% x 9/12	2,250	Balance b/d	1,650
			Bal c/d	600
		2,250		2,250
Bal b/d	BS	600		

Interest Payable A/C

Bal b/d	note 7	7,000	P & L **	15,000
Bal c/d		8,000		
		15,000		15,000
			Bal b/d	8,000 BS

** (150,000 x 8%) + (50,000 x 8% x 9/12) = 15,000

10(iii) Sales Commission:

[590,200 - 500,000] = 90,200 x 5% = 4,510 P&L BS

2. CREDITORS CONTROL ACCOUNT

(a) **Creditors Ledger Control A/C** **(26 marks)**

Balance b/d [2]	640	Balance b/d [2]	41,350
Credit Note (iv) [4]	193	Invoice (ii) [4]	270
		Credit Note (iii) [4]	315
		Discount (v) [4]	49
		Interest (vi) [4]	55
Balance c/d [2]	41,846	Balance c/d	640
	42,679		42,679
Balance b/d	640	Balance b/d	41,846

(b) **Adjusted List (Schedule) of Creditors' Balances** **(26 marks)**

		€	€
Original Balance per list			45,486 **[2]** ****
ADD:	Cash Purchases (i)	570 **[4]**	
	Invoice (ii)	850 **[3]**	
	Discount (v)	49 **[3]**	
	Interest (vi)	114 **[4]**	1,583
		47,069	
LESS:	Credit Note (iii)	5,670 **[4]**	
	Credit Note (iv)	193 **[4]**	–5,863
Balance as per Adjusted Control A/C			41,206 **[2]** ** i.e. 41,846 - 640

**** Accept correct figure only.
** Accept student's own figure(s).
Workings: (note 'S/B' refers to 'should have been')

	Control		List	
(i)	OK	OK	X 570	S/B 0 > 570
(ii)		X 580 S/B 850 > 270		S/B 850 > 850
(iii)	X 6,300 S/B 5,985	> 315	X 6,300 S/B 5,985 > 5,670	X 5,985
(iv)	S/B 193 > 193		S/B 193 > 193	
(v)		S/B 49 > 49	S/B 49 > 49	
(vi)		S/B 55 > 55	X 59	S/B 55 > 114

(c) **(8 marks)**

(i) Explain how a Contra Entry may arise **[4]**
This is where a supplier is also a customer to a business. In this case a debt incurred to the supplier is offset against a debt owed by the customer to leave one net figure in the accounts.

(ii) The opening balance of €640 dr may arise if: **[4]**
> There is a full payment of a debt followed by a credit note (returns or reduction) or full payment followed by a discount;
> There is overpayment of a debt.

3. DEPRECIATION OF FIXED ASSETS

(a) **(8 marks)**

Truck A/C

01/01/2021	Balance b/d **[2]**	225,600	30/09/2021	Disposal **[1]**	81,600
30/09/2021	Trade In **[1]**	36,000			
30/09/2021	Bank **[1]**	48,000	31/12/2021	Balance c/d	228,000
		309,600			309,600
01/01/2022	Balance b/d	228,000	01/07/2022	Disposal **[1]**	66,000
01/07/2022	Trade In **[1]**	25,000			
01/07/2022	Bank **[1]**	65,000	31/12/2022	Balance c/d	252,000
		318,000			318,000
31/01/20	Balance b/d	252,000			

(b) **(28 marks)**

Provision for Depreciation A/C

30/09/2021	Disposal **[3]** *	47,760	01/01/2021	Balance b/d **[8]**	80,320
31/12/2021	Balance c/d	69,760	31/12/2021	P & L **[6]**	37,200
		117,520			117,520
01/07/2022	Disposal **[3]** *	51,920	01/01/2022	Balance b/d	69,760
31/12/2022	Balance c/d **[3]** **	56,240	31/12/2022	P & L **[5]**	38,400
		108,160			108,160
			01/01/2023	Balance b/d	56,240

* Accept correct figure only
** Allow 2 marks for student's own figure

(c) **(14 marks)**

Disposal A/C

30/09/2021	Truck 2 **[1]**	81,600	30/09/2021	Deprec. **[2]**	47,760 ***
31/12/2021	Profit to P/L **[2]** ***	2,160	30/09/2021	Trade In **[2]**	36,000
		83,760			83,760
01/07/2022	Truck 1 **[1]**	66,000	01/07/2021	Deprec. **[2]**	51,920 ***
31/12/2022	Profit to P/L **[2]** ***	10,920	01/07/2022	Trade In **[2]**	25,000
		76,920			76,920

*** Allow student's own figure

Workings – Schedule of Fixed Assets

Asset	Time(yrs)	Cost	Dep pa	Dep to Date	Dep'21	Dep'22	Total
Truck 1	3 5/12	66,000	10,560	36,080 **[2]**	10,560 **[1]**	5,280 **[1]**	51,920
Truck 2	2 10/12	72,000	11,520	**32,640 [2]**	**8,640 [1]**	NA	
+ Refrig.	1 6/12	9,600	2,880	**4,320 [2]**	**2,160 [1]**	NA	**47,760**
Truck 3	7/12	78,000	12,480	7,280 **[2]**	12,480 **[1]**	12,480 **[1]**	
		225,600					
Truck 4	30/09/2021	84,000	13,440	NA	3,360 **[2]**	13,440 **[1]**	
Truck 5	01/07/2022	90,000	14,400	NA		7,200 **[2]**	
				80,320	**37,200**	**38,400**	

*****66,000 x 80% = 52,800 / 5 years = 10,560 p.a.
72,000 x 80% = 57,000 / 5 years = 11,520 p.a. etc.

(d) Profit & Loss Account for year ended 31/12/2022 (extract) **(6 marks)**

	€
Other Income	
Profit on disposal of truck **[2]**	10,920 *****
Expenses	
Depreciation on trucks **[2]**	38,400 *****
Service of truck **[2]**	5,100 *****

*****Accept student's own figure if consistent with previous work.

(e) Explain why depreciation is a non-cash expense to a business **(4 marks)**

[any 2 x 2 marks each]

> Depreciation is a book entry in the accounts of a business that does not involve the movement of cash but is entered as an expense in the profit and loss account.

> Depreciation is treated as an expense because it reflects a loss in value of a fixed asset due to wear and tear, obsolescence, passage of time, etc.

> It therefore has no effect on cash flow but it does reduce the profit of a business.

4. SERVICE FIRM

(a) Statement of Capital at 01/01/2022 **(18 marks)**

	€	€
Assets		
Surgery	275,000 **[1]**	
Accumulated depreciation	(11,000) **[1]**	
Equipment	38,000 **[1]**	
Accumulated depreciation	(15,200) **[1]**	
Furniture	12,500 **[1]**	
Accumulated depreciation	(2,500) **[1]**	
2% Investments	100,000 **[1]**	
Stock - dental supplies	1,100 **[1]**	
Insurance prepaid	760 **[1]**	
Investment income due (w.2)	200 **[2]**	
Medical card scheme due	7,120 **[1]**	405,980
Liabilities		
Creditors dental supplies	800 **[1]**	
Bank	2,060 **[1]**	
Loan (w.1)	20,000 **[2]**	
Loan interest due (w.1)	700 **[1]**	23,560
Capital at 01/01/2022	**[1]**	382,420 **

** Accept correct figure only

(b) Income & Expenditure Account of M. Falvey for year ended 31/12/2022 **(30 marks)**

	€	€
Income		
Private patient income (w.3)	59,460 **[3]**	
Medical card scheme (w.4)	69,230 **[3]**	
Investment income (w.2)	2,000 **[1]**	130,690
less **Expenses**		
Light & heat (w.6)	2,548 **[2]**	
Purchases dental supplies (w.7)	21,950 **[4]**	
Cleaning expenses	3,240 **[1]**	
Telephone (w.8)	2,072 **[2]**	
Loan interest (w.1)	1,050 **[1]**	
Receptionist's wages	15,000 **[1]**	
Insurance (w.9)	6,760 **[3]**	
Locum's wages (w.10)	6,300 **[2]**	
Bank charges	56 **[2]**	
Loss on disposal – furniture (w.5)	4,600 **[2]**	
Depreciation: Surgery	5,500 **[1]**	
Equipment	7,600 **[1]**	
Furniture (w.5)	1,100 **[1]**	77,776
Net Profit		52,914

WORKINGS:

1 Loan & Loan Interest

Loan: 100/108.75 x 21,750 = €20,000 > Capital 01/01 **[2]**

Loan Interest: 21,750 - 20,000 = 1,750

Due = 1,750 x 6/15 = 700 **[1]**

I & E = 1,750 x 9/15 = 1,050 **[1]**

2 Investment Income

Received	2,200 **[1]**	
Receivable (€100,000 x 2%)	2,000 **[1]**	I&E
Inv. Income due at 01/01	200	Capital

*There is no investment income prepaid at the 31/12/22

3 Private Patient Income:

Received	58,950 **[1]**
– dishonoured chq	-195 **[1]**
+ amount due 31/12 (510 + 195)	705 **[1]**
	59,460

4 Medical Card Scheme

Received	75,000 **[1]**
– amounts due at 01/01	-7,120 **[1]**
+ amounts due at 31/12	1,350 **[1]**
	69,230

5 Sale of Furniture

Furniture A/C

B/D **[1]**	12,500	Disposal	9,500
Bank	8,000	C/D	11,000
	20,500		20,500
B/D	11,000		

Provision for Depreciation A/C

Disposal	1,900	B/D	2,500 **[1]**
C/D	1,700	I & E	1,100 **[1]**
	3,600		3,600
		B/D	1,700

Disposal A/C

Furniture	9,500	Deprec.	1,900
		Bank	3,000
		Loss	4,600 **[2]**
	9,500		9,500

6 Light & heat

Bank		3,640 **[1]**
less drawings (30%)		-1,092 **[1]**
	I & E	2,548

7 Purchases Dental Supplies

Bank		21,050
+ Stock 01/01		1,100 **[1]**
- Creditors 01/01		-800 **[1]**
- Stock 31/12		-2,050 **[1]**
+ Creditors 31/12		2,650 **[1]**
	Cost - I & E	21,950

8 Telephone

Bank		2,960 **[1]**
less drawings (30%)		-888 **[1]**
	I & E	2,072

9 Insurance

Bank		7,200 **[1]**	
+ prepayment 01/01		760 **[1]**	
- prepayment 31/12		-1,200 **[1]**	[7,200 x 2/12)
	I & E	6,760	

10 Locum's wages

Drawings (error)		2,700 **[1]**
+ amount due 31/12 [900 x 4]		3,600 **[1]**
	I & E	6,300

(c) (i) **(6 marks)**

Drawings A/C

Telephone **[2]**	888	Capital account	19,740 ***
Light & heat **[2]**	1,092		
Bank **[2]**	17,760		
	19,740		19,740

*** 3 marks lost if not done in the form of a T account

(ii) Reasons why it is important for Falvey to keep a proper record of Drawings. **(6 marks)**

[any 2 points at 3 marks each]

It is important for Falvey to keep a proper record of Drawings for the following reasons:

> If drawings are not treated correctly in the accounts items of a private nature not related to the business may be entered as expenses. This will have the effect of overstating expenses and understating profits. In doing so Falvey would be paying less in income tax than he should.

> The Revenue Commissioners would always look closely at the Drawings figure if doing an inspection, to see if it is a reasonable figure. If the drawings figure is relatively low they could take the view that household expenditure is being claimed as business expenditure thereby lowering the income tax liability.

> It is also essential to monitor how much is taken from the business in the form of Drawings in order to exercise control.

5. INTERPRETATION OF ACCOUNTS

(a) **(50 marks)**

(i) Earnings per Ordinary Share **(10 marks)**

$$= \frac{\text{Earnings}}{\text{No. of Ordinary Shares}} = \frac{172{,}000}{500{,}000} = 0.344 \text{ [3]}$$

[3] [3] = **34.4c [1]**

(ii) Return on Equity funds **(10 marks)**

$$= \frac{\text{Earnings} \times 100}{\text{OSC + Reserves}} \text{ [3]}$$

$$= \frac{172{,}000 \times 100}{500{,}000 + 362{,}500} \text{ [3]}$$

= 19.942 **[3]**
= **19.94% [1]**

(iii) Cash Sales **(10 marks)**

$$\text{Debtors Days} = \frac{\text{Debtors} \times 12}{\text{Credit Sales}} \text{ [2]}$$

$$\frac{48{,}000 \times 12}{X} = 1.5 \text{ [2]}$$

1.5X = 576,000

Credit Sales X = 384,000 **[2]**
Total Sales = 1,210,000
Cash Sales = Total sales – credit sales **[2]**
= 1,210,000 – 384,000
= **€ 826,000 [2]**

(iv) Recovery of value of one ordinary share at present payout rate **(10 marks)**

$$\text{Recovery} = \frac{\text{Market Value}}{\text{Ordinary dividend per share}} \text{ [2]}$$

$$= \frac{54}{6} \text{ [2]} = 9$$

= **9 years [2]**

$$\text{Dividend per share} = \frac{\text{Ordinary Dividends}}{\text{No. Ordinary shares}} \text{ [2]}$$

$$= \frac{30{,}000}{500{,}000} = 0.06$$

= **6c [2]**

(v) Dividend Cover **(10 marks)**

$$= \frac{\text{EPS}}{\text{DPS}} \text{ or } \frac{\text{Earnings}}{\text{Ordinary dividends}} \text{ [3]}$$

$$= \frac{34.4}{6} \text{ or } \frac{172{,}000}{30{,}000} \text{ [3]}$$

= 5.7333 **[3]**
= **5.73 times [1]**

Note: * Full marks awarded for correct answer even if no workings nor incorrect workings shown.
** Figures in brackets show breakdown of marks if answer incorrect.

(b) Investor considering purchasing 100,000 of the already issued ordinary shares at 50c each.

(40 marks)

Title: Report on potential investment of 100,000 shares in Adare Plc
To: Tony Fenton, Investor
From: James Hayes, Financial Consultant
Date: 31st March 2023 *for report layout* **[4]**

Body of Report

Performance

Profitability [6]
The return on capital employed has improved from 10.3% in 2021 to 16.08% in 2022 **[1]**. The trend **[1]** is very satisfactory and 16.08% is well above the return from risk-free investments of around 1% **[1]** and is also above proposed lending rates of 10%. Existing/potential shareholders should be satisfied that the company is becoming more efficient in its use of its resources **[1]**.

The return on equity funds has improved from 16.8% in 2021 to 19.94% in 2022 **[1]**. The trend is very satisfactory and 19.94% would appear to be a very good return on the funds that the shareholders have invested in the company **[1]**.

OR

Earnings per share has improved from 24.8c in 2021 to 34.4c in 2022 **[1]**. The trend is positive and indicates that Adare plc's earning capacity **[1]** has improved substantially. An investor would be greatly encouraged with the performance of the company in 2022.

Dividend Policy [6]
The dividend cover has increased from 4.86 times in 2021 to 5.73 times in 2022 **[1]**. The management of Adare plc are retaining a greater portion of profits and appear to be reinvesting in the company which would sound very optimistic for the long-term prospects of the firm **[1]**.

If 100,000 shares are bought at €0.50, ie €50,000, the cost of borrowing €25,000 at 10% will be €2,500 **[1]**. However if the dividend per share for 2022 of 6c is maintained, the cost of borrowing will be superceded by a dividends of €6,000 (100,000 x 0.06) **[1]**.

*** and any one of:*

** The dividend per share has increased from 5.1c in 2021 to 6c in 2022 **[1]**. This represents an increase of almost 20%, which would keep shareholders happy **[1]**.

** The dividend yield has increased from 11.09% in 2021 to 11.11% in 2022 **[1]**. This is a very slight increase and 11.11% is a very good return when compared to the return from risk-free investments of around 1% **[1]**. Any potential shareholder should be encouraged by this.

** The recovery time at dividend payout rate is 9 years **[1]** (from (a) (iv) above). If this dividend return is maintained, the existing shareholders will have recovered the value of their investment in a relatively short space of time **[1]**. If the shares are being offered at less than their current market value that recovery time will be even less, which would make it more of an incentive to purchase.

State of Affairs

Liquidity [4]
The Quick ratio has improved from 0.8 : 1 in 2021 to 1.06 : 1 in 2022 **[1]**. The trend is encouraging and is just above the accepted standard of 1:1 which would indicate that Adare plc should not have a liquidity problem **[1]**, i.e. it should be able to pay its ongoing debts.

Presently, for every €1 it owes on the short term, it has €1.06 in liquid assets to repay the short-term debt **[1]**. An investor would be pleased with this as it would indicate that the company would also be able to continue to pay dividends to its shareholders **[1]**.

Gearing [6]
Capital gearing has improved from 38.9% in 2021 to 31.68% in 2022 **[1]**. The trend is satisfactory and as Adare plc is lowly geared it would be deemed a less-risky **[1]** investment with most of its long-term finance coming from equity shareholders **[1]**. This would mean that a greater portion of its profits would be available to be paid out to shareholders in the form of dividends. Shareholders (and potential shareholders) would be satisfied.

Interest cover has improved from 5.4 times in 2021 to 7.52 times in 2022 **[1]**. There is an improvement in the trend and the company appears to be making ample profits to cover the loan interest payments **[1]**. Shareholders would be satisfied with Adare plc as it should continue to have little difficulty in servicing its debts and therefore continuing to pay dividends **[1]**.

Note: Allow marks within commentary provided it is consistent with student's own figure(s).

Prospects

Sector [4]
Adare plc is a manufacturer in the food processing sector **[1]**. There will always be a strong demand for Irish-made food products. In the short term, there should continue to be be a strong demand for such products as competition from English companies is declining due to Brexit and the cost of transporting goods to Ireland is becoming prohibitive **[1]**.

In the longer term, while there will always be demand for food products, Adare plc will probably face stiff competition from home-based companies and those firms based in continental Europe **[1]**.

Also, this industry is highly regulated and must conform to very high standards of hygiene and food safety. As Adare appear to be reinvesting profits into the long-term future of this company it should be well-resourced to progress going forward **[1]**.

Market Price/Value of shares [4]
The market value of the shares has risen from €0.46 per share in 2021 to €0.54 in 2022, which is an upward trend **[1]**. This indicates a growing confidence by stock market investors in the long-term future of Adare plc **[1]**. By purchasing 100,000 of the existing shares in the company, Tony Fenton would own 20% of the firm **[1]**. It would be interesting to know why these shares are available at below market price **[1]**.

Investments [3]
Investments which cost the company €300,000 now have a market value of €325,000 **[1]**.

Shareholders would be satisfied and have confidence in the management of the company with their investment decision-making **[1]** and use of resources **[1]**.

OR

Intangible Assets [3]
Intangible assets are valued at €85,000 in the balance sheet **[1]**. Shareholders would always be interested to know what this figure actually represents **[1]**, i.e. goodwill or maybe a patent/design/ trademark which may have a transferable value **[1]**.

Conclusion/Recommendation [3]
All the figures would indicate that Adare plc is performing well. It is quite profitable, no real liquidity issues, lowly geared and is planning for the longer term. Shareholders are being well rewarded with high dividend returns and it still has a high dividend cover **[1]**. On this basis, the current market price of the shares appears to be good value at €0.54 **[1]**.

My recommendation therefore to buy the shares **[1]**.

Signed: *James Hayes*
James Hayes, Financial Consultant

*** Other answers are also acceptable provided thay are supported with relevant information
[ ] Breakdown of marks/figures given in brackets.
No marks awarded for paragraph on fixed assets/security/debenture.

WORKINGS:

		2022	2021
Gross Profit		365,000	
Operating Profit	365,000 - 162,000	203,000	
Earnings	176,000 - 4,000 [i.e. 100,000 x 4%]	172,000	
Ordinary Dividends	34,000 - 4,000	30,000	
No. Ordinary Shares		500,000	
ROCE	$\frac{203,000}{1,262,500}$ x 100%	16.08%	10.3%
Return on Equity		19.94%	16.8%
Quick Ratio	$\frac{126,000 - 22,000}{98,500}$	1.06 : 1	0.8 : 1
Capital Gearing	$\frac{400,000 \times 100\%}{1,262,500}$	31.68%	38.9%
Interest Cover	$\frac{203,000}{27,000}$	7.52 times	5.4 times
EPS		34.4c	24.8c
DPS		6c	5.1c
Dividend Cover		5.73 times	4.86 times
Dividend Yield		11.11%	5%

(c) Comment on the trend of liquidity figures for 3 years and discuss if it represents prudent management of working capital. (10 marks)

Liquidity refers to the ability of a firm to be able to pay its day-to-day debts and expenses. **[2]**
The generally accepted standard for the current (working capital) ratio is that current assets should be two times greater than current liabilities, ie. 2 : 1. **[1]**

The generally accepted standard for the acid test (quick) ratio is that current assets (excluding stock) should be the same as the current liabilities, ie. 1 : 1. **[1]**

PGA plc's current ratio has risen from 3:1 in 2020 to 8:1 in 2022, which is in excess of the norm of 2:1 and the acid test ratio has risen from 2:1 in 2020 to 5.7:1 in 2022, which is also in excess of the norm of 1:1 **[1]**. The firm should have no liquidity problems and be in a position to pay all their running expenses **[1]**. It should therefore avoid having to pay interest on any overdrafts and also be able to avail of cash discounts for prompt payments **[1]**.

However, such figures do not necessarily reflect prudent management of the working capital by the firm **[1]**. As both the current ratio and the acid test ratio figures for 2022 are quite high it could mean that too much of the firm's resources are tied up in liquid assets **[1]** when they could be used to earn more profits. Management may be leaving cash resources idle when they could be invested to generate more profit **[1]**.

6. PUBLISHED ACCOUNTS

(a) Published Profit & Loss Account of Navan plc for year ended 31/12/2022 **(35 marks)**

	Notes	€	Workings	
Turnover **[1]**		1,615,000		**[1]**
** Cost of Sales	*	(888,900)	A	**[4]**
Gross Profit		**726,100**		
** Distribution costs	*	(159,700)	A	**[4]**
** Administrative expenses	*	(131,950)	A	**[7]**
** Other operating income	*	31,000	D	**[2]**
Operating Profit	2	**465,450**		
Investment income receivable	*	8,750	B	**[2]**
Profit on sale of land	*	40,000		**[2]**
Interest payable	3	(17,500)	C	**[2]**
Profit on Ordinary Activities before Taxation [1]		**496,700**		
Taxation		(55,000)		**[3]**
Profit on Ordinary Activities after Taxation		**441,700**		
Dividends paid	4	(22,000)		**[3]**
Retained Profit		**419,700**		
Profit & Loss Balance 01/01/2022		54,020		**[3]**
Profit & Loss Balance 31/12/2022		**473,720**		

* Penalty of one mark if Distribution Costs shown after Administrative Expenses, if 'Profit on Sale of Land', Investment Income Receivable shown before Operating Profit or Interest Payable not shown last after Operating Profit.

** Penalty of one mark each if Cost of Sales, Distribution Costs, Administrative Expenses and Other Operating Income not shown as individual figures.
Maximum Penalty of -3 for above deductions.

Balance Sheet of Navan plc as at 31/12/2022 **(30 marks)**

	Notes	€	€	Workings	
Fixed Assets					
Intangible Assets		27,000 ***		E	**[2]**
Tangible Assets	1 & 5	798,400		I	**[3]**
Financial Assets		350,000	1,175,400		**[1]**
Current Assets					
Stock	1	33,000			**[1]**
Debtors		51,275		F	**[3]**
Bank		226,520			**[2]**
		310,795			
Creditors: (amounts falling due within one year) [1]					
Trade Creditors		47,500			**[2]**
Other Creditors		56,875		G	**[4]**
Taxation		98,600		H	**[3]**
		202,975			
Net Current Assets			107,820		
Total Assets less Current Liabilities			1,283,220		

	FINANCED BY:				
	Creditors (amounts falling due after one year)				
	7% Debentures		250,000		**[2]**
	Provision for Liabilities and Charges		–		
	Capital and Reserves				
	Called up share capital	350,000			**[2]**
****	Revaluation Reserve	209,500			**[3]**
	Revenue Reserves (Profit & Loss balance 31/12/2022)	473,720	1,033,220	I	**[1]**
			1,283,220		

*** Award no marks if 'Intangible Assets' are not shown first;
**** Penalty of one mark if Revaluation Reserve shown after Revenue Reserves.

(a) Notes **(25 marks)**

1. Accounting policy notes for tangible fixed assets and stock [5]

Tangible Fixed Assets: Buildings were revalued at the end of the year, and have been included in the accounts at their revalued amount {1}. Depreciation is calculated in order to write off the value or cost of tangible fixed assets over their estimated useful economic life {1}, as follows:

Buildings 2% per annum, straight line basis; {1}
Vans 20% per annum, reducing balance basis. {1}

Stocks: Stocks are valued on a first in first out basis at the lower of cost and net realisable value. {1}

2. Operating Profit [6]

Operating profit is arrived at after charging {1}:	€
Depreciation	35,100 {1}
Patents amortized	9,000 {1}
Auditors' Fees	19,500 {1}
Directors' Fees	25,500 {1}
Legal Fees due	7,500 {1}

3. Interest Payable

Interest payable on debentures repayable by 2027 {1} is 17,500 {1} **[2]**

4. Dividends

[4]

Ordinary	Paid	6.33c	19,000	1 + 1
Preference	Paid	6c	3,000	1 + 1
			22,000	

5. Tangible Fixed Assets **[8]**

	Land	**Buildings**	**Vans**	**Total**
	€	€	€	€
Cost 01/01/2022	150,000	525,000 {1}	150,000 {1}	825,000
Disposal	(150,000) {1}			(150,000)
Revaluation		175,000 {1}		175,000
Cost 31/12/2022	0	700,000	150,000	850,000
Acc. deprec. 01/01/2022		24,000	27,000	51,000
P & L **		10,500 {1} **	24,600 {1}	35,100
Disposal/Revaluation		(34,500) {1}		(34,500)
Depr. at 31/12/2022	0	0	51,600	51,600
NBV 01/01/2022	150,000	501,000	123,000	624,000
NBV 31/12/2022	0	700,000	98,400 {1}	798,400

** Allow full marks if student's own figure is consistent with his/her previous work.

(b) Differences between an auditors' report and a directors' report **(any 2, 5 + 5) (10 marks)**

1. An **auditors' report** is prepared by an outside (1) and independent (1) firm of accountants.
   A **directors' report** is prepared internally (1) by a firm's own (or hired) accountants (1) and what is contained therein is the responsibility of the directors (1).

2. An **auditors' report** looks exclusively at the financial statements (1) of a company and tries to ascertain if they give a true and fair view (1) of the company's financial affairs.
   A **directors' report** gives an overall view (1) of the performance of the company, list of directors (1) and their interests in the company, and any significant events that may have affected the company/ future plans (1) for the company.

3. There can be two types of **auditors' report**, unqualified (1) which means that in the opinion of the auditor the financial statements do give a true and fair view and a qualified (1) audit report which means that the auditors are not satisfied that the accounts give a true and fair view of the financial position of a company.

   There is only one type of **directors' report**. In it there must be an annual report (1) (which should include the financial accounts (1)), the auditors' report/it must be filed in the Company's Office (1).

WORKINGS:

A	**Allocation of Expenses**	**Cost of Sales**	**Distrib.**	**Admin.**
	Opening Stock	37,900		
	Purchases	875,000		
	Closing stock	-33,000		
	Patent amortization	9,000		
	Distribution costs		56,500	
	Administrative expenses			37,050
	Wages		42,600	28,400
	Advertising		36,000	
	Directors' fees			25,500
	Auditors' fees			19,500
	Depreciation: buildings			10,500
	Depreciation: vans		24,600	
	Legal fees			7,500
	Patent royalties error			3,500
		888,900	159,700	131,950
		4 x 1	**4 x 1**	**7 x 1**

B	**Investment income receivable**			
	Amount Received		4,375	1
	+ due		4,375 see F	1
	Receivable	350,000 x 2.5%	**8,750** P & L	

C	**Interest Payable**			
	Amount paid		13,125	1
	+ due		4,375 see G	1
	Payable	250,000 x 7%	17,500 P & L	

D	**Other Operating Income**			
	Rental Income		27,500	1
	Patent Royalties (error)		3,500	1
		Total	31,000 P & L	

E	**Patents Amortised**			
	Value @ 01/01/2022		36,000	1
	- amortisation		-9,000 P & L	1
			27,000 **BS**	

F Debtors

Debtors	56,900	1		
- Bad Debt Provision	-10,000	1	46,900	
Investment income due			4,375	1
			51,275	

G Other Creditors

Auditors' fees due	19,500	1
Directors' fees due	25,500	1
Legal fees due	7,500	1
Interest due	4,375	1
	56,875 BS	

H Taxation due:

VAT	12,600	1
PAYE	31,000	1
Corporation tax	55,000	1
	98,600 BS	

I Revaluation of Buildings

Land & Buildings A/C

B/D	675,000	Disposal	150,000
Revaluation Reserve	175,000	C/D	700,000
	850,000		850,000
B/D	700,000		

Provision for Depreciation A/C

Revaluation Reserve	34,500	B/D	24,000
C/D	0	P & L	10,500
	34,500		34,500
		B/D	0

Disposal (Land) A/C

Land	150,000	Bank	190,000
Profit	40,000		
	190,000		190,000

Revaluation Reserve A/C

		Land & Buildings	175,000 **[1]**
C/D	209,500	Depreciation	34,500 **[1]**
	209,500		209,500
		B/D	209,500

Motor Vans A/C

Balance B/D	150,000		

Provision for Depreciation A/C

		Balance B/D	27,000
Balance C/D	51,600	P & L	24,600
	51,600		51,600
		Balance B/D	51,600

Tangible Fixed Assets:

Buildings		700,000 **[1]**
Motor vans	150,000 **[1]**	
Accum depreciation	-51,600	98,400 **[1]**
		798,400

7. TABULAR STATEMENT

Power Ltd. - Tabular Statement at 31/12/2022

						W				W				W	
Assets	**01/01/ 2022**	**Jan**		**Feb**		**Mar**		**April**		**April**		**May**		**June***	
Premises	260,000					96,000	[2]								
Depreciation (Prem.)	(34,000)														
Motor vehicles	76,000					30,000	[2]								
Depreciation (MV)	(38,500)														
Investments	40,000											(24,000)	[2]		
Stock	23,250					2,500	[2]								
Debtors	28,000							(900)	[2]						
Bad debt provision	(840)									27	[2]				
Rent prepaid	600													4,200	[2]
Bank	(7,000)	(1,100)	[3]	112,000	[2]			870	[2]					(4,200)	[2]
Goodwill						5,500	[2]								
Total Assets	**347,510**	**(1,100)**		**112,000**		**134,000**		**(30)**		**27**		**(24,000)**		**0**	
Liabilities															
Creditors	15,110					21,500	[2]								
VAT	2,650														
Wages due	1,100	(1,100)	[3]												
Loan	58,000											(24,000)	[2]		
Share capital	250,000			100,000	[2]	100,000	[2]								
Share premium	10,000			12,000	[2]	12,500	[2]								
Profit & loss	10,650							(30)	[2]	27	[2]				
Revaluation reserve															
Total Liabilities	**347,510**	**(1,100)**		**112,000**		**134,000**		**(30)**		**27**		**(24,000)**		**0**	
			6		6		14		6		4		4		4
All marks awarded for correct figures only															

Power Ltd. - Tabular Statement at 31/12/2022

				W		W		W		W (June)		W					
June**		**July**		**Sept**		**Oct**		**Nov**		**Dec**		**Dec (2)**		**Dec (3)**		**Total 31/12/2022**	
														44,000	[2]	400,000	
												(6,800)	[2]	40,800	[2]	0	
								7,000	[2]							113,000	
								14,200	[2]			(21,250)	[2]			(45,550)	
																16,000	
				(4,000)	[2]	1,000	[2]									22,750	
		4,550	[2]	6,396	[2]	(1,500)	[2]									36,546	
																(813)	[1]
										(3,400)	[2]					1,400	[1]
1,000	[2]	1,950	[2]					(20,500)	[2]							83,020	[1]
																5,500	
1,000		**6,500**		**2,396**		**(500)**		**700**		**(3,400)**		**(28,050)**		**84,800**		**631,853**	
																36,610	
				1,196	[2]	(299)	[2]									3,547	
																0	
																34,000	
																450,000	
																34,500	[1]
1,000	[2]	6,500	[2]	1,200	[2]	(201)	[2]	700	[2]	(3,400)	[2]	(28,050)	[2]			(11,616)	[2]
														84,800	[2]	84,800	
1,000		**6,500**		**2,396**		**(500)**		**700**		**(3,400)**		**(28,050)**		**84,800**		**631,853**	
	4		6		8		8		8		4		6		6		6
																	100

WORKINGS:

			€	€
March:	Assets:	Buildings	96,000	
		Motor vehicles	30,000	
		Stock	2,500	128,500
	Liabilities:	Creditors	21,500	21,500
		Worth		107,000
	Paid >	Shares	100,000	
		Share premium	12,500	112,500
		Goodwill		5,500

April: New bad debt provision

Debtors	=	(28,000 - 900) x 3%
	=	813
Old	=	840
New	=	813
	Decrease	27

June: **Rent**

Bank	4,200	
P/P 01/01	600	
	4,800	
P/P 31/12	-1,400	*4,200 x 4/12*
P & L	3,400	

Sept:

	€	Step 1	Step 2
Cost	4,000		100%
Profit	1,200		30%
Sale Price	5,200	100%	130%
VAT	1,196	23%	
Total Price	6,396	123%	

Oct:

		Step 1	Step 2	
Cost	1,000		< 100%	**1,000**
Profit	300		< 30%	201
Sale Price	1,300	< 100%	< 130%	1,201
VAT	299	< 23%		**299**
Total Price	1,599	< 123%		1,500

Nov:

Motor Vehicles A/C

B/D	106,000	Disposal	18,000
Trade In	4,500		
Bank	20,500	C/D	113,000
	131,000		131,000
B/D	113,000		

Provision for Depreciation A/C

Disposal	14,200	B/D	38,500
C/D	45,550	P & L	21,250
	59,750		59,750
		B/D	45,550

Disposal A/C

M.V.	18,000	Dep	14,200
Profit to P/L	700	Trade In	4,500
	18,700		18,700

Dec (2): Depreciation on premises

260,000 x 2% =	5,200	
96,000 x 2% x 10/12 =	1,600	6,800
Depreciation on motor vehicles		21,250
		28,050

Dec (3):

Premises A/C

B/D	356,000		
Revaluation	44,000	C/D	400,000
	400,000		400,000
B/D	400,000		

Provision for Depreciation A/C

Revaluation	40,800	B/D	34,000
C/D	0	P&L	6,800
	40,800		40,800
		B/D	0

Revaluation Reserve A/C

		Premises	44,000
C/D	84,800	Depreciation	40,800
	84,800		84,800
		B/D	84,800

8. MARGINAL COSTING AND FLEXIBLE BUDGETING

Notes for Examiner
* Accept student's own figure from previous calculations;
* Full marks for correct answer even if no workings shown;
* Accept student's own method, if different from that shown;
* Penalty of one mark if correct units of measurement(s) omitted.

(A) Marginal Costing Statement (45 marks)

	€
Sales	1,375,000
- Variable Costs	-485,000
Contribution	890,000
- Fixed Costs	-600,000
Profit	290,000

Unit Contribution	€
Selling Price	550.00
Variable Cost p.u.	-194.00
Unit Contribution	356.00

Break-up of Costs

	Variable	VC pu	Fixed
D Mat	100,000	40.00	
D Lab	150,000	60.00	
F O/H	120,000	48.00	480,000
Other O/H	60,000	24.00	20,000
S & D	55,000	22.00	100,000
	485,000	194.00	600,000
Units	2,500		
VC pu	194		

a) **16**

B/E = FC / UC **[3]** = 600,000 / 356.00 **[2]** = 1685.393 = **1,686 units [1]**

Value (€) = 1,686 x 550 = 927,300 = **€927,300 [2]**

Margin of Safety = Sales - B/E **[3]** = 2,500 - 1,686 = **814 units [1]** **[2]**

Margin of Safety (€) = 814 x 550 **€447,700 [2]**

b) **Sales - VC - FC = Profit** **8**

Let X = no. of units
> 550X - 194X - 600,000 = 5% (550X) **[3]**
> 356X - 27.5X = 600,000
> 328.5X = 600,000 **[3]**
> X = 1,826.48 = **1,827 units [2]**

c) **Let SP = X** **8**

FC = 600,000 x 1.1 = 660,000 **[2]**
> 2,500X - 2,500 (172 + 0.05X) - 660,000 = 290,000 **[2]**
> 2,500X - 430,000 - 125X - 660,000 = 290,000 **[2]**
> 2,375X = 1,380,000 **[1]**
> X = 581.052 = **€581.05 [1]**

d) **Let X = no. of units** **8**

> 500X - X (172 + 20) - 600,000 = 290,000 **[2]**
> 500X - 192X = 890,000 **[2]**
> 308X = 890,000 **[2]**
> X = 2,889.61 = **2,890 units [2]**

e) **5**

Sensitivity Analysis is a technique used by management to examine the effect on profit brought by a change in any of: selling price; variable cost per unit; fixed costs or volume of activity. **[5]**

(B) Flexible Budgeting **(35 marks)**

a) Other O/H's **10**

	Qty	€
High	26,250	146,250
Low	15,000	90,000
	11,250	56,250

> VC pu = €5.00 [5]

Fixed Costs: 5.00 x 26,250 = 131,250
Total Cost = 146,250

> FC = €15,000 [5]

b) Analysis of Costs: **17**

	{VC pu,	*Fixed}*
D. Material	4.00	0
D. Wages	16.00	0
Production O/H	4.00	25,000
Other O/H	5.00	15,000
Admin. Exps	0	41,000
	29.00	81,000

Maximum Capacity, i.e 100%
90% = 33,750

> 100% = 33,750 x 100/90 = 37,500 **units [3]**

Budgeted Costs @ Maximum Capacity

	€
Direct Materials (4 x 37,500)	150,000 **[1]**
Direct Wages (16 x 37,500)	600,000 **[1]**
Production O/H (4 x 37,500, + 25,000)	175,000 **[1]**
Other O/H (5 x 37,500, + 15,000)	202,500 **[1]**
Administration Exps (0, + 41,000)	41,000 **[1]**
	€1,168,500

Marginal Costing Statement	€	
Sales	1,558,000	* [1 of 2 for student's own figure] **[2]**
- Variable Costs	-1,087,500	i.e. 37,500 x €29.00
Contribution	**470,500**	* [3 of 4 for student's own figure] **[4]**
- Fixed Costs	-81,000	i.e. 25,000+15,000+41,000
Profit	389,500 ***	

*** Profit = 25% of Sales,
> Profit = 1/3 of Costs, i.e. 1,168,500 x 1/3 = 389,500* **[3]** * [2 of 3 for student's own figure]

c) **8**

Direct costs are costs that can be traced or directly linked with the cost of producing a product, e.g. direct wages or materials. **[3 + 1]**

Indirect costs are costs that cannot be traced directly with the cost of producing a product, e.g. a supervisor's salary, insurance, etc. **[3 + 1]**

9. CASH BUDGET

(a) Cash Budget March - August 2024 **(57 marks)**

	Sales	*60,000*	*66,000*	*69,600*	*72,000*	*78,000*	*90,000*	*435,600*		
Receipts		**March**	**April**	**May**	**June**	**July**	**August**	**Total**		Mo x 0.38
Sales (w1)	Cash	22,800	25,080	26,448	27,360	29,640	34,200	165,528	**[6 x 1]**	M1 x 0.42
	Cr - 1 mth	-	25,200	27,720	29,232	30,240	32,760	145,152	**[5 x 1]**	M2 x 0.18
	Cr - 2 mths	-	-	10,800	11,880	12,528	12,960	48,168	**[4 x 1]**	
Loan	****	15,000						15,000	**[1]**	
		37,800	50,280	64,968	68,472	72,408	79,920	373,848	(16)	
Payments	*Purchases*	*40,000*	*44,000*	*46,400*	*48,000*	*52,000*	*60,000*	*290,400*		
(w2) Purchases	Cr - 1 mth**	-	28,800	31,680	33,408	34,560	37,440	165,888	**[5 x 1]**	M1 x 0.72
	Cr - 2 mths**	-	-	10,000	11,000	11,600	12,000	44,600	**[4 x 1]**	M2 x 0.25
Wages		3,200	3,200	3,200	3,200	3,200	3,200	19,200	**[2 for Mar]**	
(w3) Variable O/H's **		3,250	3,575	3,770	3,900	4,225	4,875	23,595	**[6 x 1]**	
(w4) Fixed O/H		6,275	6,275	6,275	6,275	6,275	6,275	37,650	**[2 for Mar]**	
Equipment		30,000	-	-	-	-	-	30,000	**[1]**	
Loan instalment		-	500	500	500	500	500	2,500	**[5 x 1]**	
(w5) Loan interest		125	121	117	113	108	104	688	**[6 x 1]**	
(w6) Bank overdraft interest		0	51	0	0	0	0	51	**[1 x 2]**	
		42,850	42,522	55,542	58,396	60,468	64,394	324,172	(33)	
Net cash **		-5,050	7,758	9,426	10,076	11,940	15,526	49,676	**[6 x 1]**	
**** Opening cash		0	-5,050	2,708	12,134	22,210	34,150	0		
Closing cash		-5,050	2,708	12,134	22,210	34,150	49,676	49,676		
		[1]					**[1]**		(8)	

**** **** *Loan receipt could also be entered after Net Cash figure*

****	**Alternative**							
	Net Cash **	-20,050	7,758	9,426	10,076	11,940	15,526	49,676
	Bank Loan	15,000						
	Opening Cash	0	-5,050	2,708	12,134	22,210	34,150	0
	Closing Cash	-5,050	2,708	12,134	22,210	34,150	49,676	49,676

** Accept own figure if consistent with previous work.
Note: There is no marks for figures in 'Total' column

(b) Budgeted Profit & Loss Account for 6 months ended 31/08/2024. **(13 marks)**

		€	€
	Sales		435,600 **[1]**
	- Cost of Sales		
	Purchases	290,400 **[1]**	
	Cost of Sales		-290,400
	Gross Profit		145,200
	Other Income		
(w7)	Discount Received	6,912	6,912 **[2]**
	Total Income		152,112
	Expenses		
	Wages	19,200 **[1]**	
	Variable O/H	** 23,595 **[1]**	
	Fixed O/H	** 37,650 **[1]**	
	Depreciation on machinery	1,350 **[1]**	
(w8)	Discount allowed	8,712 **[2]**	
	Loan interest	688 **[1]**	
	Overdraft interest	51 **[1]**	
			-91,246
	Net Profit		* 60,866 **[1]**

** Accept own figure if consistent with previous work.
* Accept correct figure only
Note: Layout of P&L A/C can vary.

(c) Budgeted Balance Sheet as at 31/08/2024 **(10 marks)**

			€	€	€
	Fixed Assets		**Cost**	**Dep**	**NBV**
	Equipment		30,000	1,350	28,650 [2]
	Current Assets				
(w9)	Debtors	**[2]**	68,040		
	Bank	**[1]**	49,676		accept student's figure in [a] above
				117,716	
	less Creditors (amounts due in less than one year)				
(w10)	Creditors	**[2]**	73,000	73,000	
					44,716
	Total Net Assets				73,366
	Financed By:				
	Creditors (amounts due in more than one year)				
	Loan	**[2]**			12,500
	Capital/Profit & Loss	**[1]**	accept student's figure in [b] above		60,866
	Capital Employed				73,366

WORKINGS:

1)	**Sales:**	March (cash) = 60,000 x 40% x 95% =	22,800
		March (rec'd in April) = 60,000 x 60% x 70% =	25,200
		March (rec'd in May) = 60,000 x 60% x 30% =	10,800
			etc. etc.
2)	**Purchases:**	March (paid in April) = 40,000 x 75% x96% =	28,800
		March (paid in May) = 40,000 x 25% =	10,000
			etc. etc.
3)	**Variable overheads:**	March = 60,000/1,200 = 50 x 65 =	3,250
		April = 66,000/1,200 = 55 x 65 =	3,575
			etc. etc.
4)	**Fixed overheads:**		
		Depreciation = 30,000 - 3,000 = 27,000/10 = 2,700 per annu	
		= 225 per month	
		March = 6,500 - 225 = 6,275 etc.	
5)	**Loan interest:**	March = 15,000 x 10%/12 months =	125
		April = (15,000 - 500) x 10%/12 months	121
		May = (14,500 - 500) x 10% / 12 months	117
			etc. etc.
6)	**Bank overdraft interest:**		
		April = 5,050 x 1% = 50.50 =	51
7)	**Discount received:**	(290,400 - 60,000) x 75% x 4% =	6,912
8)	**Discount allowed:**	435,600 x 40% x 5% =	8,712

9) Trade debtors @ 31/08/2024

July sales:	78,000 x 0.6 x 0.3	14,040 **[1]**	
August sales:	90,000 x 0.6	54,000 **[1]**	€68,040

10) Trade creditors @ 31/08/2024

July purchases:	52,000 x 0.25	13,000 **[1]**	
August purchases:		60,000 **[1]**	€73,000

ORDINARY LEVEL

1(A). FINAL ACCOUNTS OF A COMPANY (120 MARKS)

(a) Trading, Profit and Loss account for Saunders Ltd for year ended 31/12/2022 (1) (75 marks)

	€		€	
Sales			750,000	**(1)**
Less: Returns			12,000	**(2)**
			738,000	
Less Cost of sales:				
Stock 01/01/2022	47,200	**(3)**		
Purchases (W1)	340,000	**(4)**		
Carriage inwards	2,500	**(1)**		
	389,700			
Less: Stock 31/12/2022	34,800	**(3)**		
Cost of Sales			354,900	
Gross Profit			383,100***	**(4)**
Less: Expenses				
Administration (1)				
Stationery & Printing	3,450	**(3)**		
Website Charges (W2)	4,500	**(4)**		
Wages & Salaries	43,800	**(3)**		
Directors Fees	15,000	**(3)**		
Insurance	16,500	**(3)**		
Dep: Land & Buildings (W3)	11,400	**(4)**		
Dep: Equipment (W4)	20,600	**(4)**		
Selling and Distribution (1)				
Dep: Delivery Vans (W5)	22,500	**(4)**		
Increase in Bad Debts Provision (W6)	1,900	**(7)**	139,650	
			243,450	
+ Rent Receivable (W7)			2,500	**(4)**
Operating Profit			245,950	
Less: Debenture Interest (W8)			2,800	**(5)**
			243,150	
Less: Corporation Tax			8,500	**(3)**
			234,650	
Profit and Loss Balance 01/01/2022			(3,800)	**(3)**
Profit and Loss Balance 31/12/2022			€230,850***	**(4)**

*** Accept correct figure on

(b) Balance Sheet of Saunders Ltd. as on 31/12/2022. **(45 marks)**

	€		€		€	
Intangible Assets						
Patents					55,000	**(3)**
Fixed Assets	**Cost**		**Depreciation**		**NBV**	
Land & Building	570,000	**(1)**	11,400**	**(2)**	558,600	**(1)**
Equipment (W9)	270,000	**(1)**	84,600**	**(3)**	185,400	**(1)**
Delivery Vans (W10)	150,000	**(1)**	80,500**	**(3)**	69,500	**(1)**
	990,000		176,500		813,500	
Current Assets						
Closing Stock			34,800	**(2)**		
Website Charges prepaid			1,500	**(2)**		
Debtors	80,000	**(1)**				
Less: provision	4,800	**(2)**	75,200			
			111,500			
Less: Creditors: amounts falling due within 1 year						
Creditors (W11)	79,000	**(3)**				
Bank Overdraft	31,600	**(2)**				
Rent Rec prepaid	1,600	**(3)**				
Debenture Interest	1,000**	**(3)**				
Corporation Tax	8,500	**(2)**				
VAT	3,750	**(2)**				
PAYE/PRSI/USC	3,700	**(2)**	129,150			
Working Capital					(17,650)	
Total Net Assets					850,850	
Financed by:						
Creditors: amounts falling due after 1 year						
10% Debentures					140,000	**(2)**
Capital and Reserves	**Authorised**		**Issued**			
Ordinary Share Capital	850,000	**(1)**	480,000	**(1)**		
Profit & Loss Balance			230,850		710,850	
					850,850	

** Allow full marks for student's own figure, if consistent with previous work.

WORKINGS:

W1: Purchases: 325,000 **(1)** + 15,000 **(2)** = 340,000 **(1)**

W2: Website Charges: 6,000 **(1)** – 1,500 **(2)** = 4,500 **(1)**

W3: Depr. Buildings: 570,000 **(1)** x 2% **(1)** = 11,400 **(2)**

W4: Depr Equipment: (270,000 **(1)** – 64,000 **(1)**) = 206,000 x 10% **(1)** = 20,600 **(1)**

W5: Depr Delivery Vans: 150,000 **(1)** x 15% **(1)** = 22,500 **(2)**

W6: Provision for Bad Debts 80,000 **(1)** x 6% **(1)** = 4,800. **(1)**
4,800 **(1)** – 2,900 **(2)** = 1,900 **(1)**

W7: Rent 4,100 **(1)** – 1600 **(2)** = 2,500 **(1)**

W8: Debenture Interest: 140,000 **(1)** x 3% **(1)** x 8 months **(2)** = 2,800 **(1)**

W9: Acc. Depr. Equipment 64,000 **(2)** + 20,600 **(1)** = 84,600

W10: Acc. Depr. Delivery Vans 58,000 **(2)** + 22,500 **(1)** = 80,500

W11: Creditors 64,000 **(1)** + 15,000 **(2)** = 79,000

1(B). FINAL ACCOUNTS OF A SOLE TRADER (120 MARKS)

(a) Trading, Profit and Loss account for Tina Burns for year ended 31/12/2022 (1) (75 marks)

	€		€	
Sales			867,000	**(2)**
Less Returns Inwards			2,600	**(2)**
			864,400	
Less Cost of sales:				
Stock 01/01/2022	58,000	**(2)**		
Add: Purchases	567,000	**(2)**		
	625,000			
Less: Stock 31/12/2022	18,400	**(2)**		
Cost of Sales			606,600	
Gross Profit			257,800**	**(3)**
Less: Expenses				
Administration (1)				
Wages W1	11,000	**(4)**		
Waste Disposal Expenses	1,350	**(3)**		
Electricty & Gas	4,600	**(3)**		
Business insurance W2	725	**(4)**		
Pest Control Expenses	900	**(3)**		
Rent	2,000	**(3)**		
Depr: Factory Unit W3	8,700	**(4)**		
Equipment W4	4,115	**(4)**		
	33,390			
Selling and Distribution (1)				
Depr: Delivery Van W5	3,500	**(4)**		
Advertising	2,670	**(3)**		
Packing Materials W6	43,700	**(5)**		
Increase in Bad Debts Provision W7	410	**(3)**		
	50,280		83,670	
			174,130	
Less Loan Interest W8			(1,250)	**(4)**
Net Profit for this year			172,880	
Profit/loss balance 01/01/2022			37,520	**(4)**
Profit/loss balance 31/12/2022			€210,400**	**(6)**

** Accept correct figure only

(b) Balance Sheet of Tina Burns as on 31/12/2022. **(45 marks)**

	€		€		€	
Fixed Assets	**Cost**		**Depreciation**		**NBV**	
Factory Unit	290,000	**(1)**	8,700	**(2)**	281,300**	**(1)**
Equipment	98,000	**(1)**	19,815	**(4)**	78,185**	**(1)**
Delivery Van	35,000	**(1)**	3,500	**(2)**	31,500**	**(1)**
	423,000		32,015		390,985	
Current Assets						
Closing Stock			18,400	**(2)**		
Stock of Packing materials			1,300	**(2)**		
Bank			14,900	**(2)**		
Insurance prepaid			725**	**(2)**		
Debtors	67,000	**(2)**				
Less provision	2,010	**(3)**	64,990			
VAT			1,200	**(3)**		
			101,515			
Less: Creditors: amounts falling due within 1 year						
Creditors	29,700	**(2)**				
PAYE/PRSI/USC	2,300	**(2)**				
Wages due	2,500	**(2)**				
Loan Interest W9	400**	**(2)**	34,900			
Working Capital					66,615	
Total Net Assets					€457,600	
Financed by:						
Creditors: amounts falling due after 1 year		**(1)**				
Term Loan					100,000	**(2)**
Capital and Reserves						
Capital 01/01/2022			150,000	**(1)**		
P&L Bal. 31/12/2022			210,400			
			360,400			
Less Drawings W9			(2,800)	**(3)**	357,600	
					€457,600	

** Allow full marks for students own figure, if consistent with previous work.

WORKINGS:

W1: Wages: 8,500 **(2)** + 2,500 **(2)** = 11,000
W2: Business insurance: 1,450 **(2)** – 725 **(2)** = 725
W3: Depr Factory Unit: 290,000 x 3% = 6,300 **(4)**
W4: Depr Equipment: 98,000 – 15,700 = 82,300 **(2)** x 5% = 4,115 **(2)**
W5: Depr. Delivery Van 35,000 x 10% = 3,500 **(4)**
W6: Packing Materials : 45,000 **(2)** -1,300 **(3)** = 43,700
W7: Provision 67,000 x 3% = 2,010 **(2)**. 2,010 -1,600 = 410 **(2)**.
W8: Loan Interest 100,000 x 3% x 5/12 = 1,250 **(5)**
W9: Loan Interest due 1,250 – 850 = 400 **(3)**

2. COMPANY PROFIT AND LOSS (60 MARKS)

Profit and Loss Account for the year ended 31/12/2022 **(35 marks)**

	€		€	
Net profit for the year			98,000	**(2)**
Less Interest			7,000	**(6)**
Less Taxation			12,250	**(6)**
			78,750	
Less Appropriations:				
Increase in General Reserve	15,000	**(5)**		
Ordinary Dividend (W1)	20,000	**(5)**		
Preference Dividend (W2)	5,000	**(5)**	40,000	
Retained profit for the year			38,750	
Retained profit at 01/01/2022			32,300	**(5)**
Retained profit carried forward 31/12/2022			71,050	**(1)**

Balance Sheet as on 31/12/2022 **(25 marks)**

	€		€	
Fixed and Current Assets			718,500	
Creditors: Amounts falling due within I year				
Interest Due	7,000	**(3)**		
Taxation Due	12,250	**(3)**	19,250	
			737,750	
Financed by:				
Capital and Reserves	**Authorised**		**Issued**	
Ordinary Shares @€1 each	850,000	**(3)**	500,000	**(2)**
6% Preference Shares	150,000	**(3)**	100,000	**(2)**
	1,000,000		600,000	
Profit & Loss Balance			71,050	**(1)**
General Reserve (W3)			66,700	**(4)**
Shareholders' Funds			737,750	**(4)**

W1: 500,000 shares x 4c = 20,000

W2: 100,000 shares x 5% = 5,000

W3: General Reserve = 51,700 **(2)** + 15,000 **(2)** = 66,700

3. DEPRECIATION AND REVALUATION (60 MARKS)

(a) **Buildings Account** **(15 marks)**

		€				€	
01/01/2021	Balance b/d	750,000	**(6)**	01/09/2021	Disposal*	67,000	**(2)**
01/06/2021	Bank	105,000	**(3)**	31/12/2021	Balance c/d	788,000	
		855,000				855,000	
01/01/2022	Balance b/d	788,000		31/12/2022	Balance c/d	950,000	**(1)**
01/01/2022	Revaluation*	162,000	**(3)**				
		950,000				950,000	
01/01/2023	Balance b/d	950,000					

(b) **Provision for Depreciation Account** **(20 marks)**

		€				€	
01/09/2021	Disposal *	25,000	**(4)**	01/01/2021	Balance b/d	37,000	**(4)**
31/12/2021	Balance c/d	30,500		31/12/2021	P/L Dep*	18,500	**(4)**
		55,500				55,500	
01/01/2022	Revaluation*	30,500	**(2)**	01/01/2022	Balance b/d	30,500	
31/12/2022	Balance c/d	28,500	**(2)**	31/12/2022	P/L Dep*	28,500	**(4)**
		59,000				59,000	
				01/01/2023	Balance b/d	28,500	

(c) **Disposal of Buildings Account** **(15 marks)**

		€				€	
01/09/2021	Buildings*	67,000	**(4)**	01/09/2021	Prov for Dep*	25,000	**(4)**
01/09/2021	Profit Disposal	38,000	**(3)**	01/09/2021	Bank*	80,000	**(4)**
		105,000				105,000	

(d) **Revaluation Reserve Account** **(10 marks)**

		€				€	
				01/01/2022	Buildings*	162,000**	**(5)**
				01/01/2022	Prov for Dep*	30,500**	**(5)**
						192,500	

*Allow 1 mark for correct word, if figure is incorrect or omitted.
** Allow full marks for student's own figure, if consistent with previous work.

4. CORRECTION OF ERRORS AND SUSPENSE ACCOUNT (60 MARKS)

(a) Journal Entries **(35 marks)**

(i)	Debit		Credit	
Sales **(1)**			1,800	**(2)**
To Suspense **(1)**	1,800	**(2)**		
Being correction of error of understating sales in the sales account **(1)**				
(ii)				
Advertising **(1)**	350	**(2)**		
To Suspense **(1)**			350	**(2)**
Being correction of error of Advertising paid Only entered in the bank account **(1)**				
(iii)				
Drawings **(1)**	600	**(2)**		
To Cash **(1)**			600	**(2)**
Being correction of error of cash drawings omitted from books. **(1)**				
(iv)				
Sean Fallon **(1)**	770	**(2)**		
To Seamus Fallon **(1)**			770	**(2)**
Being correction of error of purchases on credit from Seamus Fallon entered incorrectly in Sean Fallon's account. **(1)**				
(v)				
Purchases Returns **(1)**			520	**(2)**
To Suspense **(1)**	520	**(2)**		
Being correction of error of entering incorrect figure for purchases returns **(1)**				

(b) Statement of Corrected Net Profit **(25 marks)**

Net Profit			16,850	**(1)**
Add Sales	1,800	**(7)**		
Purchases Returns	520	**(7)**	2,320	
			19,170	
Less Advertising	350	**(7)**	350	
Corrected Net profit			€18,820**	**(3)**

** Correct figure only.

5. INTERPRETATION OF ACCOUNTS (100 MARKS)

(a) (i) Credit Purchases: **(10 marks)**

Cost of Sales + Closing stock – Opening Stock

= 465,000 **(2)** + 52,000 **(3)** - 45,000 **(3)** = €472,000 **(2)**

**Full marks awarded for correct answer even if no workings are shown.
** Marks in brackets show breakdown of marks if answer is incorrect.

(ii) Rate of Stock Turnover: **(10 marks)**

Cost of Sales / Average Stock = X times.

Average Stock = (Opening Stock + Closing Stock) / 2

(45,000 **(2)** + 52,000 **(2)**) / 2 = 48,500 **(2)**

Stock Turnover = 465,000 **(2)** / 48,500 *** **(1)** = 9.59 times **(1)**

**Full marks awarded for correct answer even if no workings are shown.
** Marks in brackets show breakdown of marks if answer is incorrect.
** Penalise 1 mark if final answer not given as two decimal places
** Allow 2 marks for formula if no other work is shown.
*** Allow mark for students' consistent work.

(iii) Period of Credit given to Debtors **(10 marks)**

Period of credit given to Debtors

$$= \frac{\text{Debtors}}{\text{Credit Sales}} \times 12 \text{ (or 365)} = \text{X months (days)}$$

$$= \frac{62{,}000 \text{ (2)}}{780{,}000 \text{ (2)}} \times 12 \text{ (or 365) } \mathbf{(2)}$$

= .95 months **(4)** OR 29.01 days. **(4)**

**Full marks awarded for correct answer even if no workings are shown.
** Deduct 1 mark if days or months omitted **or** final answer not rounded off to two decimal places.
** Allow 2marks for correct formula, if no other marks awarded.
**Marks in brackets show breakdown of marks if answer is incorrect.

(iv) Gross Profit Margin **(10 marks)**

Gross Profit / Sales x 100 = X%

315,000 **(4)** / 780,000 **(4)** x 100 = 40.38% **(2)**

** Full marks awarded for correct answer even if no workings are shown.
** Deduct 1 mark if days or months omitted or final answer not rounded off to two decimal places.
** Allow 2 marks for correct formula, if no other marks awarded.
** Marks in brackets show breakdown of marks if answer is incorrect.

(b) (i) 8% Debentures 2028/2029 **(10 marks)**

Debentures are long-term **(1)** loans. **(1)** The fixed **(1)** annual **(1)** rate of interest **(1)** is 8% **(1)**. Loan must be repaid **(1)** in one lump sum **(1)** during the years 2028/2029 **(1)**. The Debenture in this set of accounts is €150,000 **(1)**.

(ii) Depreciation: **(10 marks)**

This is the loss in value **(2)** of a fixed asset **(2)** during the year **(1)** due to wear and tear **(1)** or the passage of time. A business will decide a suitable percentage for the yearly charge **(2)**. Depreciation in the above balance sheet is €40,000. **(2)**

(iii) Tangible Fixed Assets: **(10 marks)**

These are items of value **(2)** that are visible **(2)** and saleable. **(2)** They have a long-term value to the business **(2)**, and have a physical presence, e.g., Buildings. The fixed assets in this business at cost are €820,000 **(2)**.

(iv) Trade Creditors: **(10 marks)**

Trade Creditors represents suppliers **(2)** of the business from whom goods/services **(2)** have been purchased on credit. **(2)** The Trade Creditors will be paid by Jones Ltd at some future date **(2)**. The Trade Creditors in this set of accounts are owed €37,000 by the business **(2)**.

Figures in brackets show breakdown of marks if answer is incomplete

(c) Calculate the Acid Test ratio. What does this ratio tell us about Jones Ltd. **(10 marks)**

(i) Acid Test Ratio = Current Assets less closing stock : Current liabilities
= 175,000 **(1)** – 52,000 **(1)** = 123,000 **(1)**
= 123,000 : 37,000 = 3.32 : 1 **(2)**

(ii) The Acid Test Ratio of 3.32 :1 is above **(1)** the recommended of 1:1: **(1)**
For every €1 that the business owes **(1)** it has €3.32c in liquid assets **(1)** to cover the short term debt. **(1)**

- **Marks in brackets show breakdown of marks if answer is incorrect**

(d) The Return on Capital employed: Comment **(10 marks)**

The return on capital employed has improved **(2)** from 11.7 % in 2021 to 19.61% **(2)** in 2022. This is an excellent return **(1)** and shareholders would be very satisfied **(1)**. It is much higher than current interest rates on risk free investments **(2)** of less than 2%** **(1)**. The company is performing very well **(1)**.

**** Accept figure between .5% to 2%.**
- **Marks in brackets show breakdown of marks if answer is incomplete.**

WORKING: Return on Capital Employed for 2022.

$$\frac{\text{Net Profit + Interest}}{\text{Capital Employed}} \times \frac{100}{1} = X\%$$

$$\frac{168{,}000 + 12{,}000}{918{,}000} \times \frac{100}{1} = 19.61\%$$

6. CASH FLOW STATEMENT (100 MARKS)

(a) Reconciliation of Operating Profit to Net Cash Flow from Operating activities. (30 marks)

Operating Profit	128,000	**(3)**
Depreciation charge for the year *	7,000	**(6)**
Increase in Stock*	(8,000)	**(6)**
Increase in Debtors *	(16,000)	**(6)**
Decrease in Creditors *	(4,000)	**(6)**
Net Cash Inflow from Operating Activities	**107,000****	**(3)**

* Allow 2 marks for correct word(s) even if figure is incorrect or omitted
** Accept correct figure only

(b) Cash Flow Statement of Highfields Ltd. for year ended 31/12/2022 (60 marks)

Operating activities	**(2)**		
Net Cash Inflow from Operating Activities		107,000*	**(4)**
Returns on investments and servicing of finance	**(2)**		
Interest paid	**	(7,000)	**(7)**
Taxation	**(2)**		
Tax Paid		(15,000)	**(4)**
Capital expenditure and financial investment	**(2)**		
Payment to acquire fixed assets	**	(55,000)	**(6)**
Equity dividends paid	**(2)**		
Dividends paid	**	(15,000)	**(6)**
Net cash inflow before liquid resources and financing		15,000	
Financing	**(2)**		
Issue of Ordinary Share Capital	**	25,000	**(6)**
Receipt from Share Premium	**	4,000	**(6)**
Repayment of debenture	**	(20,000)	**(6)**
Increase in cash		€24,000***	**(3)**

* Allow full marks for student's own figure if consistent with previous work.
** Allow 2 marks for correct word(s) even if figure is incorrect or omitted.
*** Accept correct words with correct figure only.
▪ Penalise 2 marks for each item under the incorrect heading, up to a maximum of –6.

(c) Reconciliation of Net Cash Flow to Movement in Net Debt **(10 marks)**

Increase in cash in the period	24,000*	**(2)**
Repayment of Debentures	20,000	**(2)**
Change in net debt	44,000**	**(1)**
Net Debt at 01/01/2022 (120,000-12,000)	(108,000)	**(3)**
Net Debt at 31/12/2022 (100,000-36,000)	(64,000)**	**(2)**

* Allow full marks for student's own figure if consistent with previous work.
** Accepts students own consistent figure.

7. INCOMPLETE RECORDS: CONTROL ACCOUNTS (100 MARKS)

(a) Calculate Shane Smith's Capital on 01/01/2022. **(10 marks)**

Capital on 01/01/2019

Assets	€	€
Premises	295,000 **(1)**	
Delivery Vans	24,000 **(1)**	
Debtors	18,700 **(1)**	
Stock	10,400 **(1)**	
Bank Balance	23,400 **(1)**	
Commission due	195 **(1)**	
Expenses Prepaid	100 **(1)**	371,795
Liabilities		
Creditors	12,200 **(1)**	12,200
Capital on 01/01/2022		359,595** **(2)**

** Accept correct figure only.

(b) Total Sales: **(10 marks)**

DR. Debtors Control Account CR.

01/01/2022	Balance b/d	18,700 **(2)**	31/12/2022	Bank	92,500 **(2)**
31/12/2022	**Credit Sales**	90,100 **(1)**	31/12/2022	Balance c/d	16,300 **(2)**
		108,800			108,800

Total Sales = Cash sales + credit sales

= €185,300 (3) + €90,100 = **€275,400**

Total Purchases: **(10 marks)**

DR. Creditors Control Account CR.

31/12/2022	Bank	18,620 **(2)**	01/01/2022	Balance b/d	12,200 **(2)**
31/12/2022	Balance c/d	16,900 **(1)**	31/12/2022	**Credit Purchases**	23,320 **(2)**
		35,520			41,300

Total Purchases = Cash Purchases + Credit Purchases

= €89,300 **(3)** + €23,320 = **€112,620**

(c) Trading, Profit and Loss Account for year ended 31/12/2022. **(30 marks)**

Sales		275,400 **(3)** *
Less Cost of Sales		
Stock 01/01/2022	10,400 **(3)**	
Add Purchases	112,620 **(3)** *	
	123,020	
Less Stock 31/12/2022	15,200 **(3)**	
Cost of Sales		(107820)
Gross Profit		167,580
Add Commission Received (W1)		12,755 **(6)**
		180,335
Less Expenses		
Wages & General Expenses (W2)	67,280 **(4)**	
Depreciation: Motor Vans (W3)	4,800 **(2)**	
Depreciation : Premises (W4)	8,850 **(2)**	80,930
		€99,405** **(4)**

* Accept students own consistent figure
** Accept correct figure only.

WORKINGS:

W1: Commission Received 12,700 **(2)** - 195 **(2)** + 250 **(2)** = 12,755

W2: Wages &General Expenses Paid 67,350 **(1)** + 100 **(2)** - 170 **(1)** = 67,280

W3: Depreciation of Motor Vans = 24,000 x 20% = €4,800 **(2)**

W4: Depreciation of Premises = 295,000 x 3% = €8,850 **(2)**

(d) Balance Sheet as on 31/12/2022 **(40 marks)**

	€	€	€
Fixed Assets	**Cost**	**Depr.**	**NBV**
Premises	295,000 **(2)**	8,850 **(2)***	286,150 **(2)**
Delivery Vans	24,000 **(2)**	4,800 **(2)***	19,200 **(2)**
Furniture	15,000 **(2)**	----------	15,000
	334,000	13,650	320,350
Current Assets			
Stock 31/12/2022		15,200 **(4)**	
Debtors		16,300 **(4)**	
Bank (313,900 – 193,970)		119,930 **(4)**	
Commission due		250 **(3)**	
General Expenses prepaid		170 **(3)**	
		151,850	
Less Creditors: amounts falling due within 1 year			
Creditors		16,900 **(2)**	
Working Capital			134,950
Total Net Assets			€455,300
Financed by:			
Capital 01/01/2022		359,595 **(2)***	
Add net profit		99,405 **(2)***	
		459,000	
Less Drawings		3,700 **(2)**	
Capital Employed.			€455,300

* Accept student's own consistent figure.

8. ABSORPTION COSTING (80 MARKS)

(a) Overhead absorption rate for Production Department : (40 marks)

Fixed = €45,000 / 9,000 hrs = €5 per direct labour hour **(10)**

Variable = €18,000 / 9,000 hrs = €2 per direct labour hour **(10)**

Overhead absorption rate for Servicing Department :

Fixed = €9,000 / 3,000 hrs = €3 per direct labour hour **(10)**

Variable = €12,000 / 3,000hrs = €4 per direct labour hour **(10)**

(b) Cost of Job No 637. (20 marks)

Direct Materials	2,480	**(2)**
Direct labour	650	**(2)**
Overheads: Production Dept.		
Fixed: €5 * x 5	25	**(4)**
Variable €2* x 5	10	**(4)**
Overheads: Servicing Dept		
Fixed €3* x 4	12	**(4)**
Variable €4* x 4	16	**(4)**
Total Cost	€3,193**	

* Allow full marks if consistent with previous work.
** Accept correct figure only

(c) Selling Price of Job 637: (10 marks)

Total Cost	€3,193*	**(2)**
Mark Up 20%	638.60*	**(5)**
Selling Price	€3,831.60**	**(3)**

* Allow full marks if consistent with previous work.
** Accept correct figure only.

(d) To be able to calculate the selling price (5). To see if it will be possible to make a profit producing this product (5). (10 marks)

9. PRODUCT BUDGETING (80 MARKS)

(a) Prepare a Sales Budget in units and € **(16 marks)**

	SPECIAL		STANDARD	
Budgeted Sales Units	3,900	**(3)**	2,500	**(3)**
Budgeted Selling price	x 25	**(3)**	x 10	**(3)**
Budgeted Sales €	€97,500**	**(2)**	€25,000**	**(2)**

** Accept correct figure only.
** No deduction if € symbol is omitted.

(b) Prepare a production budget in units. **(16 marks)**

	SPECIAL		STANDARD	
Budgeted Sales units	3,900	**(2)**	2,500	**(2)**
+ Budgeted Closing Stock	320	**(2)**	190	**(2)**
	4,220		2,690	
-Budgeted Opening Stock	(250)	**(2)**	(210)	**(2)**
Budgeted Production Units.	3,970**units	**(2)**	2,480**units	**(2)**

** Accept correct figure only.
** No deduction if "units" is omitted.

(c) Prepare a materials usage budget in units **(16 marks)**

	Material J		Material K	
SPECIAL (3,970* x 5)	19,850	**(3)**	(3,970* x 3)= 11,910	**(3)**
STANDARD: (2,480* x 7)	17,360	**(3)**	(2,480* x 5) = 12,400	**(3)**
Budgeted Material Usage (Kgs)	37,210**kgs	**(2)**	24,310**kgs	**(2)**

* Allow full marks for student's own figure if consistent with previous work.
** Allow full marks for final answer if consistent with previous work.
** No deduction if "kgs" omitted.

(d) Prepare a materials purchases budget in units and € **(16 marks)**

	Material J		Material K	
Budgeted Material Usage (grams)	37,210*	**(2)**	24,310*	**(2)**
+ Budgeted Closing Stock	210	**(2)**	230	**(2)**
	37,420		24,540	
-Budgeted Opening Stock	(175)	**(2)**	(195)	**(2)**
Material Purchases Budget (grams)	37,245		24,345	
Budgeted Purchase price €	6	**(1)**	5	**(1)**
Materials Purchases Budget €	€223,470**	**(1)**	€121,725**	**(1)**

* Allow full marks for student's own figure if consistent with previous work.
** Allow full marks for final answer if consistent with previous work.
** No deduction if € symbol is omitted.

(e) Prepare a labour (wages) budget **(10 marks)**

	SPECIAL		STANDARD	
Budgeted Production (units)	3,970 *	**(1)**	2,480*	**(1)**
Direct Labour time(hours)	5	**(1)**	4	**(1)**
Budgeted direct labour(hours)	19,850	**(1)**	9,920	**(1)**
Direct labour rate per hour	€12	**(1)**	€12	**(1)**
	238,200		119,040	
Direct Labour Budget €			€357,240**	**(2)**

*Allow full marks for student's own figure if consistent with previous work.
** Accept correct figure only.
** No deduction if € symbol omitted.

(f) Why is Production budgeting important for a business? **(6 marks)**

A Production Budget shows the expected quantities of finished goods that must be produced to meet expected demand **(3)** and to satisfy stock requirements. **(3)**